

KEY SO FAR

come a long way, facing many challenges in the 16 years of its existence



2016

Valuation surges to \$6.5 billion; lack of hybrid model limits control over quality, cost, and overall experience



2017

Costly rebranding; SoftBank writes down its investment; merger talks with Flipkart fall through



2021

Files documents for IPO to raise \$165 million; plans offline foray and to focus on private labels



2022

Creates umbrella organisation, AceVector Group; decides to withdraw IPO due to stock market downturn

is optional today; so if we decide, we can start putting money back in the bank or we can continue to invest in growth.” Today, the company operates lean with no inventory on hand and relies on third-party logistics partners to manage shipments.

Meanwhile, the company launched about a dozen private labels, such as Urban Mark, Rangita, Hometales, Miyuki, Aragma, and NORD, across fashion and home décor categories. For a pure-play marketplace, these private labels not only serve as a substantial revenue source but also provide a degree of control over product quality. Snapdeal also lists its private label brands on other platforms like Amazon, Ajio, and Myntra.

“Initially, the goal was to provide a better assortment, get better margins, and offer better pricing to consumers. Once these private labels started doing quite well, the team said let’s not limit the demand only to our platform, but sell them wher-

ever there is demand, online and offline,” says a former employee.

Today, a major chunk of revenue for some of these brands comes from outside Snapdeal. In fact, the Snapdeal platform contributes only about 15 per cent of the revenues of Stellaro Brands, the entity that houses these private labels.

Subsequently, in July 2022, the company introduced a formalised group structure under the name AceVector Group, consolidating all three ventures—Snapdeal, Uni-commerce, and Stellaro Brands.

While Snapdeal is hovering around break-even, e-commerce enablement service provider Uni-commerce saw its operating revenue grow by 52.5 per cent to ₹90 crore and profits rise 8 per cent to ₹6.45 crore in FY23. Per company executives, who didn’t want to be named, Stellaro Brands has achieved substantial scale across multiple brands, and it too is near profitability. Both Snapdeal and

Stellaro Brands have not filed FY23 financials.

At the other end, Titan Capital, floated by Bahl and Bansal in 2015 to formalise their expanding portfolio of personal investments, has evolved into an active early-stage VC fund. It has a portfolio of 200 companies, including unicorns Urban Company, Razorpay, and Ola. Notably, the fund achieved a remarkable 100x return on its recent exit during Mamaearth’s public offering in November.

WHAT NOW?

Snapdeal appears in good shape, but it can’t push for aggressive growth because of tight cash flows and uncertain funding prospects. And that puts it at risk of losing its market position once again to reigning titans Flipkart and Amazon, and an aggressively growing Meesho.

In August, Meesho announced that it achieved a post-tax profit (PAT) in the “single-digit crore ru-



Plus, the value market is attracting new entrants, putting Snapdeal’s early-mover advantage at risk



Rival Meesho’s aggressive growth could dent Snapdeal’s chances of getting fresh funding